DIAGNOSTIC INTELLIGENCE SUMMARY

Analysis Report for meridian_tb_fy2025.csv

Client	—
Fiscal Year End	—
Source Document	meridian_tb_fy2025.csv
Reference	PAC-2026-1023-201
Generated	23rd October 2026
Engagement Practitioner	Sarah M. Chen, CPA
Engagement Reviewer	James R. Whitfield, CPA, CIA
Report Status	Draft

Report generated by Paciolus® Diagnostic Intelligence. Engagement information entered by user.

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Data Intake Summary

Field	Value
File Received	meridian_tb_fy2025.csv
Rows Submitted	247
Rows Accepted	247
Rows Rejected / Skipped	0
Null / Blank Account Codes	0
Duplicate Account Codes	No
Unrecognized Account Types	0
Data Completeness	100%

No data quality issues were identified during intake processing.

Executive Summary

✓ BALANCED

Debits equal Credits ($0.00 variance)

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Total Debits ........................... $12,847,392.50
Total Credits .......................... $12,847,392.50
Variance ..................................... $0.00
Rows Analyzed ................................... 247
Materiality Threshold ..................... $50,000.00

Flagged Value (Material) ................ $7,207,850.00
Total TB Population ................... $12,847,392.50
Risk-Weighted Coverage ......................... 56.1%
```

Material exceptions affect 56.1% of total trial balance value by amount. Accounts above materiality threshold warrant corroborating procedures before conclusions can be drawn.

Population Composition

Account Type	Count	Gross Balance	% of Gross Total
Asset	60	$4,892,000.00	21.4%
Liability	47	$3,180,392.50	13.9%
Equity	8	$2,524,000.00	11.0%
Revenue	22	$6,850,000.00	30.0%
Expense	110	$5,401,000.00	23.6%
Total	**247**	**$22,847,392.50**	**100.0%**

Gross Balance represents the sum of absolute account-level balances within each type. This column is not additive to a net trial balance total, as it includes both debit and credit balances without netting.

Risk Assessment

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Composite Diagnostic Score .................. 52 / 100
Diagnostic Tier ......................... HIGH (52/100)
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Diagnostic Score Scale: 0–10 = Low | 11–25 = Moderate | 26–50 = Elevated | 51–100 = High
Basis: automated flag density — auditor judgment required per ISA 315. The diagnostic tier is an indicator, not a risk assessment or a conclusion on internal control.

Score Decomposition

```
Revenue — Consulting Services: revenue concentration ... +8
Cost of Goods Sold: expense concentration ........ +8
Suspense — Clearing Account: uncleared suspense ... +8
Minor observations (5 findings) ................. +10
Anomaly-weighted coverage exceeds 50% ........... +10
Suspense balance at period end .................. +5
Credit balance in asset account ................. +3
```

Total (capped at 100) 52

Total Findings	Material Exceptions	Minor Observations	Informational Notes
8	**3**	**5**	**0**

Exception Details

Material Exceptions (3)

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Rank	Ref	Account	Nature of Exception	Amount
P1	TB-M001	Revenue — Consulting Services	**Single account represents 62% of total revenue — concentration risk** *Revenue* *Single-account revenue concentration exceeding 30% is generally considered elevated under analytical procedures guidance and may require disclosure assessment.* *Suggested Procedure: Perform disaggregated revenue analysis for this account, including customer-level detail and contract terms. Assess whether the concentration represents a going concern or business continuity risk requiring disclosure under ASC 275-10. Given the material amount, expand substantive testing to include confirmation procedures and cutoff testing for this revenue stream.*	$4,250,000.00
P2	TB-M002	Cost of Goods Sold	**Account represents 45% of total expenses — concentration risk** *Expense* *Single-account expense concentration exceeding 40% of total expenses warrants inquiry into the nature and terms of the underlying transactions.* *Suggested Procedure: Obtain a complete transaction listing for this account and identify the underlying vendors or contracts driving the concentration. Given the material amount, perform targeted vouching of the largest transactions and assess whether the concentration indicates related-party activity or inadequate competitive bidding controls.*	$2,890,000.00
P3	TB-M003	Suspense — Clearing Account	**Suspense account with uncleared balance at period end** *Other* *Suggested Procedure: Obtain transaction-level detail for the outstanding suspense balance and confirm each item was cleared or reclassified prior to the report date. Given the material amount, escalate to engagement partner for further investigation and document resolution with supporting evidence in the engagement file.*	$67,850.00
			TOTAL	**$7,207,850.00**

Amounts shown reflect signed balances. Negative values indicate credit-balance findings. Amount represents account balance unless otherwise noted.

Minor Observations (5)

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Rank	Ref	Account	Nature of Exception	Amount
P1	TB-I001	Intercompany Receivable	**Single counterparty concentration — 100% of intercompany balance** *Asset* *100% concentration in a single intercompany counterparty should be confirmed against intercompany agreements and assessed for elimination in consolidation.* *Note: Unconverted intercompany balances were also identified in the Multi-Currency Conversion memo (Ref: MCY-2026-0215-042). These findings may relate to the same counterparty. Cross-reference recommended.* *Suggested Procedure: Obtain the intercompany reconciliation and confirm corresponding entries exist in the counterparty's records. Verify elimination entries are prepared for consolidation.*	$325,000.00
P2	TB-I002	Advertising Expense	**Round-dollar amount ($100,000.00) — estimate or manipulation indicator** *Expense* *Suggested Procedure: Inspect supporting documentation for this round-dollar balance; confirm the amount reflects an actual invoiced or contracted value and was not estimated or manually entered as a placeholder.*	$100,000.00
P3	TB-I003	Office Supplies	**Multiple round-number transactions ($5,000.00 exactly) — 8 occurrences** *Expense* *Suggested Procedure: Select a sample of the recurring round-dollar entries and trace to underlying contracts or invoices. Assess whether the pattern indicates an automated accrual that may mask estimation bias.*	$40,000.00 *(8 transactions × $5,000.00)*
P4	TB-I004	Accounts Receivable — Trade	**Credit balance of $23,400 — expected debit for trade receivable** *Asset* *Suggested Procedure: Investigate credit balance in the receivable account; determine whether this represents unapplied customer payments, credit memos awaiting offset, or a posting error. Obtain the customer subledger detail and confirm resolution timing.*	$-23,400.00
P5	TB-I005	Prepaid Insurance	**Credit balance of $1,200 — expected debit for prepaid** *Asset* *Suggested Procedure: Obtain the amortization schedule for this prepaid account and compare to the contract term. Confirm whether the credit indicates full consumption or an improper reversal.*	$-1,200.00
			TOTAL	**$440,400.00**

Amounts shown reflect signed balances. Negative values indicate credit-balance findings. Amount represents account balance unless otherwise noted.

For pattern-based findings (e.g., round-number anomalies), the amount shown may represent the sum of flagged transactions rather than the account balance.

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Going Concern Indicators

No going concern indicators identified in the trial balance data.

These indicators are analytical observations only. The assessment of an entity's ability to continue as a going concern is the responsibility of the auditor under ISA 570 / AU-C 570.

Limitations

This report was prepared using Paciolus Diagnostic Intelligence and is intended to support the professional judgment of the engagement practitioner. The procedures reflected herein are analytical and diagnostic in nature and do not constitute an audit, review, compilation, or attestation engagement as defined under AICPA professional standards or PCAOB auditing standards. Findings and observations require independent corroboration before conclusions may be drawn.

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